Finding the Needle in the Haystack

THERE HAVE BEEN a series of attacks on indexing over the years. All have failed—at least in terms of how investors vote with their dollars. So far, both legislative and regulatory attempts to restrict indexing have similarly failed to persuade investors of the *evils* of indexing.

We shouldn't be surprised by gaslighting by the anti-indexing community. As Upton Sinclair explained a century ago, "It is difficult to get a man to understand something when his salary depends upon his not understanding it."[246] Sinclair had a clear bead on the financial industry, especially the high-cost, active-investing side of it, even though he was writing about politics and the meatpacking industry.

Regardless, we can channel Vanguard founder Jack Bogle to remind ourselves why indexing has succeeded. As Eric Balchunas, Senior ETF Analyst for Bloomberg, noted, low-cost indexing has saved investors about a trillion dollars in Wall Street fees.[247] The two largest indexing managers—Vanguard at $9.5 trillion and BlackRock at $11.5 trillion—make it self-evident why active managers are terrified of low-cost indexing.

Alas, the war against misinformation is never-ending series of skirmishes.

To understand why indexing should be a core part of your investment strategy, consider the following five issues.

Costs

Investors can own an array of broad indexes, ranging from the 30-stock DJIA to the S&P 500 to the MSCI Global for just a few basis points (a basis point is 1/100 of a percent). Active management is no longer as pricey as it once was (e.g., 200 basis points); it has come down in cost to the 50 to 100 bps neighborhood.

Hence, the people making various claims (absurd or otherwise) against